

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02332

Report ID:	AR-02332
Audit Type:	Financial Transaction Audit
Report Date:	August 03, 2023
Audit Period:	2023-03-05 to 2023-08-02
Lead Auditor:	Laura Kramer (EMP-47797)
Reviewed By:	David Guzman (EMP-62502)
Primary Vendor Reference:	SilverPath Holdings Inc (VND-01916)
Subject Employee Reference:	Ryan Bush (EMP-64426)
Primary Transaction Reference:	TXN-EXT-004243
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2023-03-05 to 2023-08-02 and examined transactions, approvals, and compliance records associated with vendor SilverPath Holdings Inc (VND-01916) and employee Ryan Bush (EMP-64426). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-004243 (amount 14,232.66 GBP) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001996	MEDIUM	VENDOR RISK	Vendor JadeCore Solutions Group holds CRITICAL risk rating. 3 payments totalling \$19,659 processed in the audit period.
FND-004319	MEDIUM	VENDOR RISK	High-risk vendor HarborLight Services Ltd has no compliance record on file. Payment of \$404,334 released without compliance clearance.

Finding ID	Severity	Category	Description
FND-002833	CRITICAL	EXPIRED COMPLIANCE	Payment of \$130,013 released to OmegaLink Systems whose SOC 2 compliance expired 248 days before payment date.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000518	VENDOR RECORD	EVD-OOZ-6170	0.53
EVI-000672	HR RECORD	EVD-NEA-1015	0.94
EVI-001758	HR RECORD	EVD-UYJ-0472	0.53
EVI-002506	HR RECORD	EVD-NOP-8152	0.65
EVI-003489	HR RECORD	EVD-LVG-0326	0.54
EVI-003847	HR RECORD	EVD-RUH-7416	0.93

5. RECOMMENDATIONS

- Strengthen segregation of duties between transaction initiation and approval functions.
- Restrict post-termination system access to prevent ghost Approver scenarios.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Laura Kramer	EMP-47797	2023-08-03
Reviewing Officer	David Guzman	EMP-62502	2023-08-05